Lesson 08.4:

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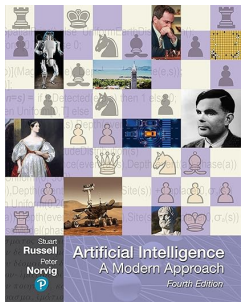
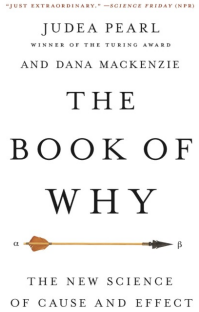
References:

- AIMA (Artificial Intelligence: a Modern Approach)
- Pearl et al., The Book of Why, 2017
- Facuce





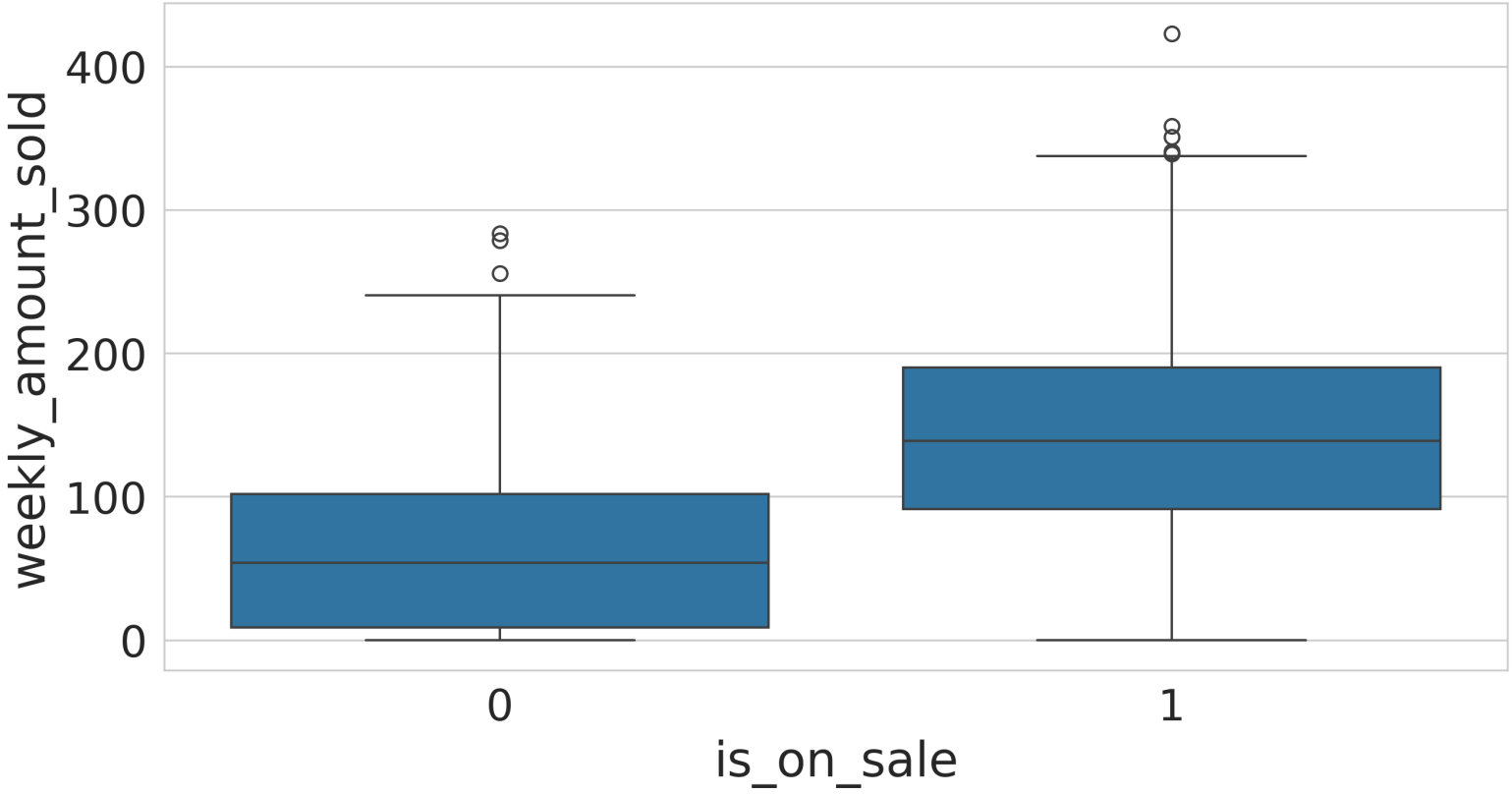
Definition

- Causal inference question: *"what is the impact of T on Y?"*
  - E.g., `is_on_sale` $\rightarrow$ `on_weekly_amount_sold`
- **Treatment for unit i** $T_i = 1$ if unit i has received the treatment
  - E.g., `(weeks_to_xmas, is_on_sale)` = "apply price drop on a specific week"
  - Sometimes T is denoted with D
- **Outcome** is the variable one wants to influence, Y_i
  - E.g., `weekly_amount_sold`
- **Unit of analysis** is the thing you wish to intervene on / treat, e.g.,
  - *"People who buy Y"*
  - *"When is the best moment to have sales"*

	store	weeks_to_xmas	avg_week_sales	is_on_sale	weekly_amount_sold
0	1	3	12.98	1	219.60
1	1	2	12.98	1	184.70
2	1	1	12.98	1	145.75
3	1	0	12.98	0	102.45
4	2	3	19.92	0	103.22
5	2	2	19.92	0	53.73

The fundamental problem of causal inference

- *"You can never observe the same unit with and without treatment"*
- **Example**
  - Plot outcome `weekly_amount_sold` by treatment `is_on_sale`
  - Stores with price drops sell more (from 50 to 150)



  - Matches intuition: *"people buy more when prices are low due to sales"*
  - Magnitude of change seems too large

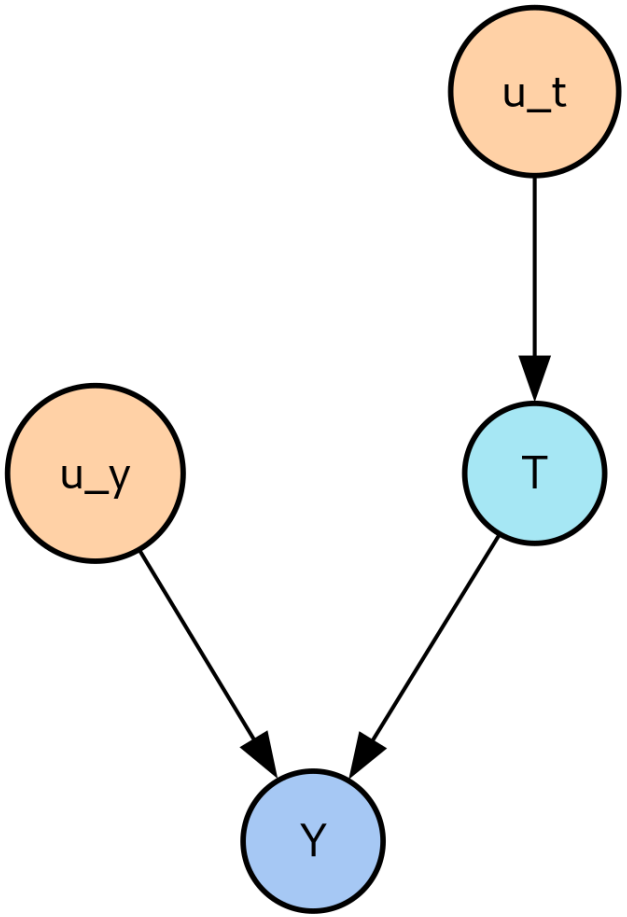
Causal Model

- A **causal model** is a series of assignments $\leftarrow$
  - Causality is non-reversible; you can't rearrange the equation
- **Example**

$$T \leftarrow f_t(u_t)$$
$$Y \leftarrow f_y(T, u_y)$$

where:

- u_t, u_y are exogenous variables (outside the model)
  - Account for everything not covered by model variables
- Treatment T and u_y cause outcome Y
- T and Y are endogenous to the model



Causal model: sales example

- Causal model for sales example

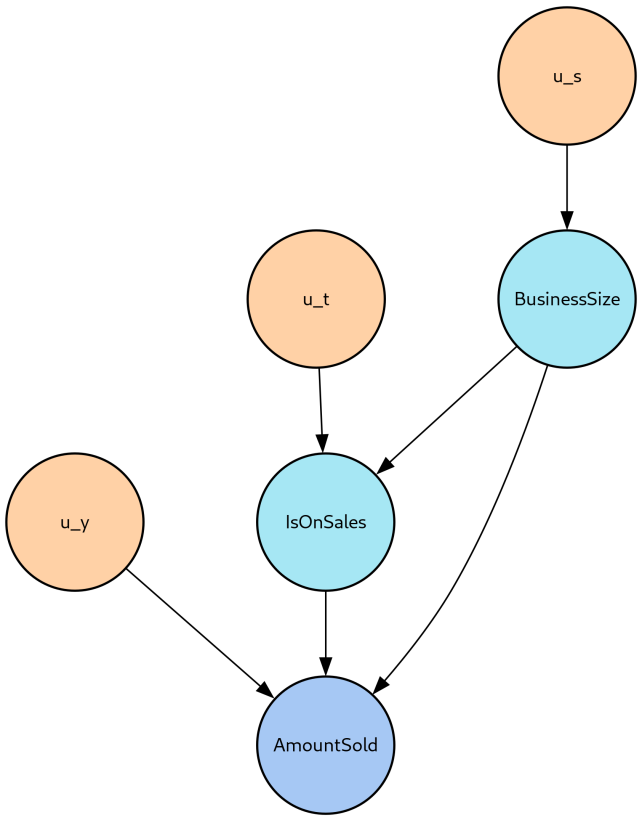
$$IsOnSales \leftarrow f_t(u_t)$$
$$AmountSold \leftarrow f_y(IsOnSales, u_y)$$

- You could add a *BusinessSize* in the model

$$BusinessSize \leftarrow f_s(u_s)$$
$$IsOnSales \leftarrow f_t(BusinessSize, u_t)$$
$$AmountSold \leftarrow f_y(IsOnSales, Business$$

- One can make an assumption of linear model for $f_y(.)$ and say

$$AmountSold = \alpha + \beta_1 IsOnSales + \beta_2 BusinessSize + e$$



- ***Interventions***
-
- You can force the treatment t_0

$$T \leftarrow t_0$$
$$Y \leftarrow f_y(T, u_y)$$

  and ask "what would happen to the outcome Y if I were to set the treatment to t_0?

- The intervention is represented by the $do(.)$ operator, e.g., $do(T = t_0)$